Business Environment & Ethics - Set 15

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

Case: MegaPower's Coal Plant: MegaPower Ltd plans a coal-fired power plant near a forest. Before starting, it must carry out a study of the project's likely effects on air, water and wildlife, hold a public hearing and obtain clearance from the central environment ministry. Environmentalists argue the project must meet present energy needs without harming future generations.

1. Environmental clearance for such projects is granted by the:
A. Ministry of Environment, Forest and Climate Change
B. SEBI
C. RBI
D. Competition Commission of India

2. Accountability means
A. Avoiding blame
B. Maximising profit
C. Being answerable for one's actions and decisions
D. Reducing taxes

3. The Right to Information Act, 2005 mainly applies to
A. Private clubs
B. Public authorities
C. Individuals
D. Foreign firms

4. The economic system followed in India is a
A. Pure capitalist economy
B. Pure socialist economy
C. Mixed economy
D. Communist economy

Case: Response to an Economic Slowdown: During a slowdown, the government raises spending on roads and cuts income tax. At the same time, the central bank reduces the repo rate and the Cash Reserve Ratio. Analysts say borrowing will become cheaper, but warn that if demand overshoots supply, prices could rise.

5. Higher spending on roads and an income tax cut together are measures of:
A. Monetary policy
B. Industrial policy
C. Fiscal policy
D. Foreign trade policy

6. The micro environment is also known as the
A. Task environment
B. General environment
C. Remote environment
D. Societal environment

7. Integrity means
A. Obeying superiors only
B. Consistency between one's values, words and actions
C. Maximising profit
D. Avoiding competition

8. A green audit is
A. A financial audit
B. A tax audit
C. A systematic review of a firm's environmental performance

D. A cost audit

9. "Satya" in the Indian ethical tradition stands for

A. Non-violence
B. Charity
C. Self-control
D. Truth

10. The SEBI regulations on fraudulent and unfair trade practices relate to

A. Agricultural produce
B. Food safety
C. Labour welfare
D. The securities market

11. At the base of Carroll's pyramid of CSR lies

A. Economic responsibility
B. Philanthropic responsibility
C. Ethical responsibility
D. Legal responsibility

> **Case:** Zenith Software: Pay Gap: At Zenith Software, women are paid less than men for the same role and experience. A woman engineer complains to HR. An ethics review finds that the pay policy has no clear rules and that managers set salaries at their discretion.

12. The document that sets out employee conduct and company values is the:

A. Income statement
B. Code of ethics
C. Cash budget
D. Production plan

13. Employees giving their time to community projects is called

A. Overtime
B. Employee volunteering
C. Outsourcing
D. Job rotation

> **Case:** GlowCream's Promise: GlowCream advertises that its cream gives 'guaranteed fairness in seven days' and shows edited before- and-after photographs. Many buyers complain that the product did nothing. The authority created under the Consumer Protection Act, 2019 begins an inquiry.

14. The authority that can inquire into such violations and order that the advertisement be withdrawn is the:

A. Central Consumer Protection Authority (CCPA)
B. TRAI
C. SEBI
D. Competition Commission of India

> **Case:** Skyline BPO: A Complaint at Work: An employee at Skyline BPO complains that her manager repeatedly makes unwelcome remarks and advances. The firm has more than ten employees. It must now follow the law on sexual harassment at the workplace and ensure that the complaint is handled fairly.

15. Handling the complaint properly upholds the employee's:

A. Right to dignity and a safe workplace
B. Right to hoard
C. Right to bargain
D. Right to avoid tax

> **Case:** SunVolt Energy: SunVolt Energy plans to sell rooftop solar systems in India. It notes that the government offers a subsidy for rooftop solar, bank interest rates are falling so loans are cheaper, battery technology has become much cheaper, and net-metering regulations now allow households to sell extra power to the grid.

16. The net-metering regulations are best classified as a:

A. Technological factor
B. Legal factor
C. Social factor
D. Economic factor

17. Changes in consumption patterns and lifestyle after globalisation are often described as
A. Return to barter
B. Fall in all consumption
C. Abolition of brands
D. Rise of consumerism and Westernisation of tastes

18. A manager who consistently tells the truth even when it is costly shows
A. Integrity
B. Weakness
C. Poor strategy
D. Disloyalty

19. A Ponzi scheme is a fraud in which
A. Profits come from real trade
B. The government guarantees returns
C. Earlier investors are paid from money collected from later investors
D. Investors get shares

20. SDG 12 relates to
A. Climate action
B. Quality education
C. Clean water
D. Responsible consumption and production

21. Supporting self-help groups of rural women is an example of
A. Women empowerment and livelihood support
B. Cost control
C. Price control
D. Tax planning

22. The Air (Prevention and Control of Pollution) Act was passed in
A. 1974
B. 1981
C. 1986
D. 1991

23. The BRSR requires listed companies to report on
A. Only profits
B. Environmental, social and governance performance
C. Only sales
D. Only dividends

24. The Balance of Payments is a record of
A. Government income and expenditure
B. Bank deposits and loans
C. Imports of goods only
D. All economic transactions between a country and the rest of the world

25. Which of the following is a characteristic of pre-1991 industrial policy?
A. Strict industrial licensing and heavy state control
B. Free entry for all firms
C. Zero import duties
D. Full privatisation of public sector

> **Case:** Meena's Two Worlds: Before 1991, Meena's family waited years for a scooter or a telephone connection, and choices were limited. Today she can choose from many brands, including foreign ones, and from several mobile plans regulated by TRAI. Services now contribute the largest share of India's GDP.

26. The availability of foreign brands was made possible by:
A. Higher import duties
B. Nationalisation of banks
C. Reduced import tariffs and liberalised foreign investment
D. A ban on foreign companies

27. A company's CSR policy and activities must be disclosed in the
A. Only newspapers
B. Only the income tax return
C. Nowhere
D. Board's Report and on the company's website

28. Trade liberalisation after 1991 led to import duties being
A. Substantially reduced
B. Substantially increased
C. Left unchanged
D. Imposed on exports

29. The Water (Prevention and Control of Pollution) Act was passed in
A. 1981
B. 1986
C. 1972
D. 1974

30. The right to be informed means consumers have the right to know
A. The seller's profit
B. The quality, quantity, price and standard of goods
C. The seller's tax details
D. The factory's address only

31. The Code on Wages, 2019 deals with
A. Environmental clearance
B. Consumer rights
C. Minimum wages, payment of wages and bonus
D. Stock exchange rules

> **Case:** Priya's Appeal: Priya files a complaint about a faulty washing machine, but the District Commission rules against her. She believes the decision is wrong and wants to appeal. She also learns that disputes can sometimes be settled through mediation instead of a long hearing.

32. An appeal against an order of the District Commission generally goes to the:
A. National Commission directly
B. State Commission
C. Supreme Court directly
D. Lok Adalat only

33. "Audi alteram partem" means
A. Hear the other side
B. Let the buyer beware
C. Equal pay
D. Free trade

34. A tradable certificate representing the right to emit one tonne of carbon dioxide is called a
A. Share certificate
B. Debenture
C. Treasury bill
D. Carbon credit

35. Accepting expensive gifts from a supplier can compromise
A. Delivery time
B. The objectivity and integrity of a decision
C. Packaging quality
D. Employee tax

36. Publishing a CSR report on community projects reflects
A. Transparency and accountability
B. Secrecy
C. Tax planning
D. Advertising only

> **Case:** India in 1991: In 1991, India's foreign exchange reserves had fallen so low that they could barely pay for a few weeks of imports. The government pledged gold, devalued the rupee and launched sweeping economic reforms. The reforms were led by Prime Minister P. V. Narasimha Rao and his Finance Minister.

37. The crisis facing India in 1991 is best described as a:

A. Budget surplus
B. Balance of payments crisis
C. Foreign exchange glut
D. Fall in oil prices

38. Environmental Impact Assessment is conducted

A. Before a project is approved
B. After a project closes
C. Only for small shops
D. Only for banks

39. A mixed economy is one in which

A. Public and private sectors exist together
B. Only the private sector operates
C. Only the public sector operates
D. The government has no role

> **Case:** MediCare Hospitals: MediCare Hospitals, a chain in Kerala, is planning expansion. The state government has launched a health insurance scheme for low-income families. The share of elderly people in the population is rising. Telemedicine technology now allows remote consultations. A new law also requires hospitals to protect the privacy of patient data.

40. The rising share of elderly people is a:

A. Legal factor
B. Technological factor
C. Political factor
D. Social (demographic) factor

41. PESTLE analysis is mainly used to

A. Analyse internal strengths
B. Calculate break-even point
C. Scan the macro environment
D. Measure employee satisfaction

42. SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015 govern

A. Customs duty
B. Disclosures by listed companies
C. Factory safety
D. Consumer complaints

43. Another commonly used name for PESTLE analysis is

A. PESTEL analysis
B. SWOT analysis
C. BCG matrix
D. Ansoff matrix

> **Case:** Riverside Textiles: Riverside Textiles discharges untreated dye effluents into a river. Fish die and villagers fall ill. The state pollution control board files a case. The company is told that it must bear the cost of cleaning up, and the matter is taken up by a specialised tribunal for environmental disputes.

44. The principle that the company must bear the cost of cleaning up is:

A. Caveat emptor
B. The Doctrine of Lapse
C. Laissez-faire
D. The Polluter Pays principle

45. A company must pay a declared dividend to

A. Only directors
B. Only employees

C. Only creditors
D. Eligible shareholders

46. The MRTP Act, 1969 was replaced by the
A. FEMA, 1999
B. Consumer Protection Act, 1986
C. Companies Act, 2013
D. Competition Act, 2002

47. The Central Consumer Protection Authority (CCPA) was established under the
A. Consumer Protection Act, 1986
B. Consumer Protection Act, 2019
C. Competition Act, 2002
D. Companies Act, 2013

48. Providing local employment and supporting community development is a responsibility towards the
A. Community
B. Competitors
C. Shareholders only
D. Banks only

> **Case:** Karthik Plastics and Government Policy: Karthik Plastics, a small manufacturer, benefits from the government's 'Make in India' campaign and a production-linked incentive scheme. Since 2017 it pays a single unified indirect tax instead of several separate ones. Recently, the Competition Commission of India fined a group of cement companies for fixing prices together.

49. The Competition Commission fining the cement companies for price-fixing reflects the government's role as a:
A. Promoter
B. Entrepreneur
C. Planner only
D. Regulator

> **Case:** GlowCream's Promise: GlowCream advertises that its cream gives 'guaranteed fairness in seven days' and shows edited before- and-after photographs. Many buyers complain that the product did nothing. The authority created under the Consumer Protection Act, 2019 begins an inquiry.

50. The advertisement is best described as:
A. Fair trade practice
B. Sales promotion
C. Misleading
D. Product differentiation

Answer key - Set 15

1. **A**	11. **A**	21. **A**	31. **C**	41. **C**
2. **C**	12. **B**	22. **B**	32. **B**	42. **B**
3. **B**	13. **B**	23. **B**	33. **A**	43. **A**
4. **C**	14. **A**	24. **D**	34. **D**	44. **D**
5. **C**	15. **A**	25. **A**	35. **B**	45. **D**
6. **A**	16. **B**	26. **C**	36. **A**	46. **D**
7. **B**	17. **D**	27. **D**	37. **B**	47. **B**
8. **C**	18. **A**	28. **A**	38. **A**	48. **A**
9. **D**	19. **C**	29. **D**	39. **A**	49. **D**
10. **D**	20. **D**	30. **B**	40. **D**	50. **C**

Answers with explanations

1. Environmental clearance for such projects is granted by the:

Answer: A. Ministry of Environment, Forest and Climate Change

Why correct: The Ministry of Environment, Forest and Climate Change grants clearances.

B is wrong: SEBI regulates securities.

C is wrong: RBI regulates banks.

D is wrong: CCI regulates competition.

2. Accountability means

Answer: C. Being answerable for one's actions and decisions

Why correct: Accountability is being answerable for actions and decisions.

A is wrong: Avoiding blame is the opposite.

B is wrong: Maximising profit is a goal.

D is wrong: Reducing taxes is a goal.

3. The Right to Information Act, 2005 mainly applies to

Answer: B. Public authorities

Why correct: The RTI Act applies mainly to public authorities.

A is wrong: Private clubs are not covered.

C is wrong: Individuals are not covered.

D is wrong: Foreign firms are not covered.

4. The economic system followed in India is a

Answer: C. Mixed economy

Why correct: India has both private and public sectors: a mixed economy.

A is wrong: It is not purely capitalist.

B is wrong: It is not purely socialist.

D is wrong: It is not communist.

5. Higher spending on roads and an income tax cut together are measures of:

Answer: C. Fiscal policy

Why correct: Government spending and tax cuts are fiscal policy.

A is wrong: Monetary policy is the central bank's.

B is wrong: Industrial policy covers industries.

D is wrong: Trade policy covers external trade.

6. The micro environment is also known as the

Answer: A. Task environment

Why correct: The micro environment is also called the task environment.

B is wrong: General environment is macro.

C is wrong: Remote environment is macro.

D is wrong: Societal environment is macro.

7. Integrity means

Answer: B. Consistency between one's values, words and actions

Why correct: Integrity is consistency between values, words and actions.

A is wrong: Obeying superiors only is obedience.

C is wrong: Profit is a goal.

D is wrong: Avoiding competition is unrelated.

8. A green audit is

Answer: C. A systematic review of a firm's environmental performance

Why correct: A green audit is a systematic review of a firm's environmental performance.

A is wrong: A financial audit checks accounts.

B is wrong: A tax audit checks tax records.

D is wrong: A cost audit checks cost records.

9. "Satya" in the Indian ethical tradition stands for

Answer: D. Truth

Why correct: Satya means truth.

A is wrong: Non-violence is ahimsa.

B is wrong: Charity is dana.

C is wrong: Self-control is sanyam/dama.

10. The SEBI regulations on fraudulent and unfair trade practices relate to

Answer: D. The securities market

Why correct: SEBI's fraudulent and unfair trade practice rules relate to the securities market.

A is wrong: Agricultural produce is outside it.

B is wrong: Food safety is FSSAI's.

C is wrong: Labour welfare is outside it.

11. At the base of Carroll's pyramid of CSR lies

Answer: A. Economic responsibility

Why correct: The base of the pyramid is economic responsibility.

B is wrong: Philanthropic is top.

C is wrong: Ethical is third.

D is wrong: Legal is second.

12. The document that sets out employee conduct and company values is the:

Answer: B. Code of ethics

Why correct: A code of ethics sets out employee conduct and company values.

A is wrong: An income statement reports profit.

C is wrong: A cash budget plans cash.

D is wrong: A production plan schedules output.

13. Employees giving their time to community projects is called

Answer: B. Employee volunteering

Why correct: Giving staff time to community projects is employee volunteering.

A is wrong: Overtime is extra paid work.

C is wrong: Outsourcing contracts out work.

D is wrong: Job rotation moves staff between jobs.

14. The authority that can inquire into such violations and order that the advertisement be withdrawn is the:

Answer: A. Central Consumer Protection Authority (CCPA)

Why correct: The CCPA can inquire into misleading ads and order withdrawal.

B is wrong: TRAI regulates telecom.

C is wrong: SEBI regulates securities.

D is wrong: CCI regulates competition.

15. Handling the complaint properly upholds the employee's:

Answer: A. Right to dignity and a safe workplace

Why correct: Handling the complaint properly upholds the right to dignity and a safe workplace.

B is wrong: No right to hoard exists.

C is wrong: No right to bargain in this sense exists.

D is wrong: No right to avoid tax exists.

16. The net-metering regulations are best classified as a:

Answer: B. Legal factor

Why correct: Net-metering regulations are legal rules.

A is wrong: It is not technology.

C is wrong: It is not social.

D is wrong: It is not economic.

17. Changes in consumption patterns and lifestyle after globalisation are often described as

Answer: D. Rise of consumerism and Westernisation of tastes

Why correct: After globalisation consumerism and Western tastes rose.

A is wrong: Barter did not return.

B is wrong: Consumption rose.

C is wrong: Brands grew.

18. A manager who consistently tells the truth even when it is costly shows

Answer: A. Integrity

Why correct: Telling the truth even when costly shows integrity.

B is wrong: It is strength, not weakness.

C is wrong: It is good, not poor, strategy.

D is wrong: It is loyalty to values.

19. A Ponzi scheme is a fraud in which

Answer: C. Earlier investors are paid from money collected from later investors

Why correct: In a Ponzi scheme earlier investors are paid from later investors' money.

A is wrong: No real trade profits are involved.

B is wrong: Governments do not guarantee it.

D is wrong: Investors do not get shares.

20. SDG 12 relates to

Answer: D. Responsible consumption and production

Why correct: SDG 12 is Responsible Consumption and Production.

A is wrong: Climate action is SDG 13.

B is wrong: Quality education is SDG 4.

C is wrong: Clean water is SDG 6.

21. Supporting self-help groups of rural women is an example of

Answer: A. Women empowerment and livelihood support

Why correct: Supporting rural women's self-help groups empowers women and builds livelihoods.

B is wrong: It is not cost control.

C is wrong: It is not price control.

D is wrong: It is not tax planning.

22. The Air (Prevention and Control of Pollution) Act was passed in

Answer: B. 1981

Why correct: The Air Act was passed in 1981.

A is wrong: 1974 is the Water Act.

C is wrong: 1986 is the EPA.

D is wrong: 1991 is wrong.

23. The BRSR requires listed companies to report on

Answer: B. Environmental, social and governance performance

Why correct: BRSR covers environmental, social and governance performance.

A is wrong: Not only profits.

C is wrong: Not only sales.

D is wrong: Not only dividends.

24. The Balance of Payments is a record of

Answer: D. All economic transactions between a country and the rest of the world

Why correct: BoP records all economic transactions with the rest of the world.

A is wrong: Government income and spending is the budget.

B is wrong: Bank deposits and loans are banking data.

C is wrong: Imports alone are part of trade.

25. Which of the following is a characteristic of pre-1991 industrial policy?

Answer: A. Strict industrial licensing and heavy state control

Why correct: Before 1991 industry faced strict licensing and heavy state control.

B is wrong: Free entry came after 1991.

C is wrong: Import duties were high.

D is wrong: Privatisation came after 1991.

26. The availability of foreign brands was made possible by:

Answer: C. Reduced import tariffs and liberalised foreign investment

Why correct: Foreign brands arrived because tariffs were reduced and foreign investment was liberalised.

A is wrong: Higher duties would block them.

B is wrong: Nationalising banks is unrelated.

D is wrong: A ban would stop them.

27. A company's CSR policy and activities must be disclosed in the

Answer: D. Board's Report and on the company's website

Why correct: CSR policy must be disclosed in the Board's Report and on the website.

A is wrong: Not only newspapers.

B is wrong: Not only the tax return.

C is wrong: It cannot be left undisclosed.

28. Trade liberalisation after 1991 led to import duties being

Answer: A. Substantially reduced

Why correct: Trade reforms cut import duties substantially.

B is wrong: They were not raised.

C is wrong: They did change.

D is wrong: Exports were not taxed.

29. The Water (Prevention and Control of Pollution) Act was passed in

Answer: D. 1974

Why correct: The Water Act was passed in 1974.

A is wrong: 1981 is the Air Act.

B is wrong: 1986 is the EPA.

C is wrong: 1972 is the Wildlife Act.

30. The right to be informed means consumers have the right to know

Answer: B. The quality, quantity, price and standard of goods

Why correct: The right to be informed covers quality, quantity, price and standard of goods.

A is wrong: Seller's profit is not covered.

C is wrong: Seller's tax is not covered.

D is wrong: Factory address alone is not enough.

31. The Code on Wages, 2019 deals with

Answer: C. Minimum wages, payment of wages and bonus

Why correct: The Code on Wages, 2019 covers minimum wages, payment of wages and bonus.

A is wrong: Environmental clearance is separate.

B is wrong: Consumer rights are separate.

D is wrong: Stock exchange rules are separate.

32. An appeal against an order of the District Commission generally goes to the:

Answer: B. State Commission

Why correct: Appeals from the District Commission go to the State Commission.

A is wrong: The National Commission is two steps up.

C is wrong: The Supreme Court is the last stage.

D is wrong: Lok Adalat is a different forum.

33. "Audi alteram partem" means

Answer: A. Hear the other side

Why correct: 'Audi alteram partem' means hear the other side.

B is wrong: 'Let the buyer beware' is caveat emptor.

C is wrong: Equal pay is a different principle.

D is wrong: Free trade is not it.

34. A tradable certificate representing the right to emit one tonne of carbon dioxide is called a

Answer: D. Carbon credit

Why correct: A tradable right to emit one tonne of CO_2 is a carbon credit.

A is wrong: A share certificate shows ownership.

B is wrong: A debenture is a loan.

C is wrong: A treasury bill is a government security.

35. Accepting expensive gifts from a supplier can compromise

Answer: B. The objectivity and integrity of a decision

Why correct: Expensive gifts can compromise objectivity and integrity.

A is wrong: Delivery time is not affected.

C is wrong: Packaging quality is not affected.

D is wrong: Employee tax is not affected.

36. Publishing a CSR report on community projects reflects

Answer: A. Transparency and accountability

Why correct: Publishing a CSR report shows transparency and accountability.

B is wrong: It is not secrecy.

C is wrong: It is not tax planning.

D is wrong: It is more than advertising.

37. The crisis facing India in 1991 is best described as a:

Answer: B. Balance of payments crisis

Why correct: Reserves covering weeks of imports signal a balance of payments crisis.

A is wrong: A surplus was not the issue.

C is wrong: There was a shortage, not a glut.

D is wrong: Oil prices were not the main cause.

38. Environmental Impact Assessment is conducted

Answer: A. Before a project is approved

Why correct: EIA is done before a project is approved.

B is wrong: It is not done after closure.

C is wrong: It is not only for small shops.

D is wrong: It is not only for banks.

39. A mixed economy is one in which

Answer: A. Public and private sectors exist together

Why correct: A mixed economy has public and private sectors side by side.

B is wrong: Only private is capitalism.

C is wrong: Only public is socialism.

D is wrong: The government has a role in a mixed economy.

40. The rising share of elderly people is a:

Answer: D. Social (demographic) factor

Why correct: An ageing population is a social (demographic) factor.

A is wrong: It is not legal.

B is wrong: It is not technological.

C is wrong: It is not political.

41. PESTLE analysis is mainly used to

Answer: C. Scan the macro environment

Why correct: PESTLE scans the macro environment.

A is wrong: Internal strengths are SWOT.

B is wrong: Break-even is costing.

D is wrong: Employee satisfaction is HR.

42. SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015 govern

Answer: B. Disclosures by listed companies

Why correct: SEBI's LODR Regulations govern disclosures by listed companies.

A is wrong: Customs duty is separate.

C is wrong: Factory safety is separate.

D is wrong: Consumer complaints are separate.

43. Another commonly used name for PESTLE analysis is

Answer: A. PESTEL analysis

Why correct: PESTLE is also written PESTEL.

B is wrong: SWOT is a different tool.

C is wrong: BCG matrix is portfolio analysis.

D is wrong: Ansoff matrix is growth strategy.

44. The principle that the company must bear the cost of cleaning up is:

Answer: D. The Polluter Pays principle

Why correct: Making the polluter bear the clean-up cost is the Polluter Pays principle.

A is wrong: Caveat emptor is let the buyer beware.

B is wrong: The Doctrine of Lapse is a colonial policy.

C is wrong: Laissez-faire is non-interference.

45. A company must pay a declared dividend to

Answer: D. Eligible shareholders

Why correct: A declared dividend must be paid to eligible shareholders.

A is wrong: Directors are not the only recipients.

B is wrong: Employees are not recipients as such.

C is wrong: Creditors are repaid separately.

46. The MRTP Act, 1969 was replaced by the

Answer: D. Competition Act, 2002

Why correct: The Competition Act, 2002 replaced the MRTP Act, 1969.

A is wrong: FEMA deals with foreign exchange.

B is wrong: The 1986 Consumer Protection Act did not replace MRTP.

C is wrong: The Companies Act, 2013 governs companies.

47. The Central Consumer Protection Authority (CCPA) was established under the

Answer: B. Consumer Protection Act, 2019

Why correct: The CCPA was established under the Consumer Protection Act, 2019.

A is wrong: The 1986 Act had no CCPA.

C is wrong: The Competition Act sets up the CCI.

D is wrong: The Companies Act is unrelated.

48. Providing local employment and supporting community development is a responsibility towards the

Answer: A. Community

Why correct: Local jobs and community support are duties towards the community.

B is wrong: Competitors are a different group.

C is wrong: Shareholders are a different group.

D is wrong: Banks are a different group.

49. The Competition Commission fining the cement companies for price-fixing reflects the government's role as a:

Answer: D. Regulator

Why correct: Fining cartel members is regulation.

A is wrong: A promoter encourages.

B is wrong: An entrepreneur runs firms.

C is wrong: A planner sets targets.

50. The advertisement is best described as:

Answer: C. Misleading

Why correct: Guaranteed fairness with edited photos is misleading.

A is wrong: It is not fair trade.

B is wrong: It is not mere promotion.

D is wrong: It is not differentiation.